

Five Steps to Financial Wellbeing

adaption, can be used to explain so much of what goes wrong in our relationship with money and the way that it affects our self-worth. It posits that we all have a baseline level of happiness, and any move away from that baseline – either negative or positive – will be temporary.³ This set point of wellbeing means that, as much as we have coveted and strived for a certain job, a certain salary, a certain amount of money in the bank, we will eventually get used to it, and the joy that we feel at having achieved it fades. We immediately move the goalposts, and our baseline for contentment moves in line with them. Our achievements are never enough for us, because we default to the same level of happiness after a while. This tends to be compounded by other things, such as our tendency to ‘upgrade’ our lifestyle as our means increase, and the fact that our social circles may change as our income and stage of our career does. In his *A Theory of Human Motivation*,⁴ Abraham H. Maslow suggests that ‘man is a perpetually wanting animal’ – i.e. as we fulfil the needs in our hierarchy, we move on to create new needs to fulfil.

Understanding this is important for financial wellbeing because it helps us to realize that even if we put an empirical value on our self-worth, there’s no guarantee that when we reach it, we’ll finally feel content. In fact, all of the evidence suggests that we won’t. Our brains just keep moving the target, and we keep pushing on. The treadmill keeps going until we are completely burnt out and ready to drop.